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What is often forgotten in the context of the targeting of the billionaires by the critics... is that by and large, the wealth of the billionaires does not end up in ostentatious consumption, but instead is invested. And these are smart entrepreneurs who hopefully would invest their wealth in a very highly productive manner.

Think of the alternative. Suppose we were to tax away a lot of this wealth and this wealth comes back into the hands of the government. What will happen? Very likely a large part of it will go into the current expenditures, what was investment will turn into current expenditure. And even what gets invested will probably not get invested in projects that will yield very high rate of return...

This is not an endorsement of inequality. But it is simply asking a question, 'Is there a better road? Can we continue to have very equitable redistribution and continue to grow at 7%-plus, which is our ambition?' And I don't see a pathway to it... When there is wealth creation, it does lead to some accumulation of wealth.

A: There are two issues I would address. One is that my general approach, which may be a bit out of sync with most, [is] that I wish we would not use the tax policy as an instrument of promoting equality... income taxation... progressive taxation is well-accepted. But indirect taxation is a little different. I lean very heavily on expenditure policy.

We are going to look at how to do the job of income redistribution, make your taxation efficient, so that the production activity is facilitated by a transparent, efficient taxation, and get the revenues and do the redistribution, which we are doing on a fairly substantial scale. It's a difficult political ask, but as an economist, I would move away from making indirect taxation an instrument of income distribution. That's my first point. The second on GST is that this was a very difficult reform... A big part of that reform is the fact that there is only one tax on any given product... What more remains to be done? We need to build

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"In the long run, the US wants to get away from China, India wants to get away from China. If both countries want to get away from China, they have no choice but to be closer to each other"

Because those who create wealth, even if they keep 4-5% for themselves, it quickly produces billionaires. Likewise, growth also tends to concentrate in certain areas, geographically.

So, you will also see regional inequality rise... Urban versus rural, because growth by nature will concentrate in urban areas and if it does not, then even if it starts in the rural areas, eventually those areas will become urban... A good example is Shenzhen, which in 1980 used to be just a bunch of fishing villages. Today, it is one of the most vibrant, urbanised spots on the face of the earth. You'd say a lot of people who are in Shenzhen today probably migrated from rural areas. So, they've shared in that prosperity... As long as this inequality is also accompanied by lifting up everybody, particularly the bottom 30%, then it becomes a little more acceptable. The alternative is leaving everybody poor...

Q: How significant is it for the GST council to address some pending issues in the existing framework given the regressive nature of indirect taxes?

some consensus towards bringing the number of tax rates down. Many economists would argue that a single rate GST would be the most desirable. I think, politically, that is a challenge. But we should certainly strive towards two non-zero tax rates. Long ago, I wrote an article in one of the leading journals about uniform tariffs... And politically, what that means is that lobbying completely disappears... It is also generally more efficient than what we end up with... A similar argument does apply to GST; if you commit to one or at most two rates, then a lot of both criticisms as well as lobbying that goes on for a higher or lower tax rate can be more or less eliminated. So, that is something we, the GST Council, will have to deal with over time.

But as I said, this was a very difficult reform and things are happening in stages... Revenue-wise, GST is yielding solid amount of revenue; the buoyancy is also good. I think the next steps hopefully will come in a logical sequence saying that we will get fewer tax rates. **BT**

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